

Financial Statements Practice Worksheet

Part 1 – Concepts

1. What does the income statement measure?

Answer: _____

2. What equation defines the balance sheet?

Answer: _____

3. What are the three sections of the cash flow statement?

Answer: _____

4. What is the difference between assets and liabilities?

Answer: _____

Part 2 – Net Income Calculation

A company reports the following for the year:

Revenue: \$150,000

Expenses: \$95,000

Calculate Net Income:

Net Income = _____

Part 3 – Balance Sheet

A company has the following financial information:

Assets: \$300,000

Liabilities: \$180,000

Calculate Equity:

Equity = _____

Part 4 – Interpretation

Why might investors want to look at the cash flow statement instead of only the income statement?

